Finance and Accounting Manual

Field	Value
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Revision history

Rev	Date	Description	Approved
2022	2022-03-26	Editorial corrections	Compliance Officer
2023	2023-06-15	Section numbering aligned	Compliance Officer
2024	2024-04-08	Updated roles and contacts	Board
2025	2025-03-26	Forms appendix replaced	Compliance Officer

0.1 1 Purpose and Scope

This manual states the finance and accounting policies of Tannahill Mechanical Contractors, Inc. and the procedures the finance department follows to carry them out. It applies to every employee who prepares, reviews, approves, or files financial and tax information for the company, and to every branch, shop, and field location the company operates.

The company is a commercial HVAC and plumbing contractor working out of two branches, with an in-house fleet of service trucks and vans and a parts warehouse. Revenue comes from service contracts, construction projects, and emergency call-out work. The finance department keeps the general ledger, prepares the monthly close, manages vendor and subcontractor payments, administers payroll, and prepares the federal and state tax returns before they go to the outside CPA firm for review and e-filing.

0.1.1 1.1 Objectives

The policies in this manual exist to keep the company's books and filings reliable, to make the work of one accountant checkable by another, and to give the outside auditors and the CPA firm a consistent basis for their work. Where a policy and a written direction from the Controller conflict, the Controller's direction governs for that matter and is documented in the file. Where this manual is silent, staff follow the professional practice of a careful accountant in the construction contracting industry.

0.1.2 1.2 Responsibilities

Table 1

Function	Responsibility
Corporate Controller	Owns this manual; approves policy changes; signs the monthly close and the annual federal return package.
Senior Financial Analyst	Prepares schedules supporting the close and the tax returns; performs the independent reviews this manual requires.
Fixed Asset Accountant	Maintains the fixed asset register, the depreciation and amortization workpapers, and the capital project files.
Fleet Office Coordinator	Maintains the vehicle register, titles and registrations, and the contemporaneous vehicle usage records.
Branch Managers	Approve purchases within their delegated limits and confirm the service status of equipment and vehicles at their branch.

0.1.3 1.3 Related policies and documents

This manual is one of a set. It is read with the delegation of authority schedule the Controller maintains, the purchasing policy the operations group maintains, and the fleet safety policy the risk manager maintains. Where two documents speak to the same matter, the one the Controller owns governs for accounting matters.

Table 2

Document	Owner	Matters
Delegation of authority schedule	Corporate Controller	Approval limits, signing authority
Purchasing policy	Operations	Vendor selection, purchase orders
Fleet safety policy	Risk Manager	Driver eligibility, incident reporting
Payroll procedure	Controller / Human Resources	Pay cycles, timekeeping
Contract billing procedure	Controller	Progress billing, retainage

0.1.4 1.4 Accounting basis

The company keeps its books on the accrual basis in accordance with accounting principles generally accepted in the United States. The statements are prepared on a calendar-year basis. Tax computations follow the Internal Revenue Code and the regulations and forms prescribed for the year of the return; where a book treatment and a tax treatment differ, the workpapers carry both and the difference is scheduled.

0.1.5 1.5 Changes to this manual

The Controller approves every change to this manual before it takes effect. Each approved change is recorded in the revision history with its effective date and a short statement of what changed. Superseded revisions are kept in the policy file for seven years so that a position taken in an earlier year can be read against the policy that was in effect at the time.

0.2 2 Documentation Standards

Every schedule, workpaper, and supporting file the finance department produces follows the standards in this section. The standards exist so that a reviewer who did not prepare the work can follow it without a walk-through.

0.2.1 2.1 File naming and organization

Workpapers are organized by tax year and by schedule type. File names state the period and the schedule: for example, the fixed asset detail for the 2025 return is kept in the 2025 depreciation and amortization workpapers. Source documents — invoices, titles, agreements, closing statements — are filed by vendor and date in the document management system, and the workpapers cite them by document number.

0.2.2 2.2 Supporting documentation

Every number on a schedule carries support. A cost in the fixed asset register is supported by the vendor invoice and the approval that authorized the purchase. An intangible in the amortization schedule is supported by the agreement that created it and the closing statement that priced it. A vehicle in the fleet register is supported by the title, the registration, and the purchase file. Support is filed when the entry is made, not later.

0.2.3 2.3 Review evidence

Work that a second person reviews carries that person's initials and the date of review. A review is evidenced on the schedule itself or on a checklist that lists the steps performed. Initialing a schedule means the reviewer has performed the steps the checklist names for that schedule and found the work as presented, not that the reviewer has glanced at it.

0.2.4 2.4 Corrections

An error found in a filed or signed schedule is corrected in the period it is found, with a note stating what was corrected and why. Correcting entries are supported like any other entry. A correction that changes a figure already given to a lender, surety, or tax authority is reported to the Controller the day it is found.

0.3 3 Fixed Asset and Depreciation Policy

The fixed asset function exists to answer three questions with support a reviewer can follow: what the company owns, what it cost, and how much of the cost has been recovered. Every procedure in this section serves one of those questions.

0.3.1 3.1 Capitalization and Classification

The company capitalizes an item of property or equipment when it has a useful life of more than one year and a cost of $2,500 or more. Items below the threshold are expensed when purchased. Cost includes freight, sales tax, installation, and the other costs of putting the asset into service.

Capitalized items are classified in the fixed asset register by type and by the recovery period the company uses for tax purposes:

Table 3

Asset class	Examples	Recovery period (years)
Light vehicles	Service trucks, vans, sedans	5
Shop equipment	Lifts, lathes, diagnostic scanners	7
Qualified improvement property	Leasehold build-outs, interior renovations	15
Building improvements	Roofing, HVAC replacement, structural work	39
Section 197 intangibles	Customer relationships, noncompete agreements, trade names	15

Classification follows what the asset is and how the company uses it, not how the vendor invoices it. A component that is a distinct asset with its own life — an HVAC unit installed in a building the company owns — is capitalized in its own class; a repair that restores an existing asset is expensed.

A component of a larger asset is capitalized on its own when it has a distinct life or a distinct pattern of use. A rooftop unit on a building the company owns is a building improvement in its own right; the shelving installed in a cargo van is part of the van. When a project includes items of different classes, the cost is allocated to the classes on the invoice schedule or, where the invoice does not separate them, on the contractor's application for payment.

Repairs and maintenance that keep an asset in its ordinary condition are expensed in the period performed. An expenditure that extends the life of an asset, increases its capacity, or adapts it to a new use is capitalized and depreciated over its own life. Ordinary turnarounds of service equipment — brake work, fluid services, tire replacement — are repairs, not improvements, regardless of their cost.

0.3.2 3.2 Listed Property Substantiation

Property the company operates that can serve personal as well as business purposes carries a substantiation burden the company takes seriously. Tax positions for listed property must be based on contemporaneous records of actual use, not on planning estimates or unadjusted carry-forward files.

The fleet office maintains the usage records for every vehicle: GPS telematics where the vehicle carries a unit, and a manual mileage log where it does not. Drivers of vehicles without GPS units record odometer readings at the start and end of each trip, and the branch office reconciles the logs to fuel card purchases monthly. The fleet office summarizes each vehicle's business and personal miles for the year after the year ends and files the summary with the vehicle's record.

Mileage records are retained for the period this manual requires in section

1. A vehicle whose records for a year are incomplete is reported to the

Controller, who decides how the company will substantiate its use for that year before any return position is taken.

0.3.3 3.3 Depreciation, Section 179, and Special Allowance Approval

Book depreciation is computed by the fixed asset module and posted to the general ledger monthly. Book lives are set by class at acquisition and reviewed for reasonableness when an asset's use changes:

Table 4

Class	Book life (years)
Light vehicles	5
Shop and field equipment	7
Leasehold improvements	Shorter of the lease term or 15
Building improvements	20 to 39
Section 197 intangibles	15

The company claims cost recovery on its federal return under the methods the Internal Revenue Service prescribes for each class of property. Elections — the section 179 expense election, the election to claim or forgo a special depreciation allowance, and any change in accounting method — are made deliberately, in writing, before the return is filed.

Table 5

Matter	Approval
Regular MACRS depreciation on an item within its class	Fixed Asset Accountant
Section 179 expense election on any item	Corporate Controller
Election to forgo a special depreciation allowance	Corporate Controller
Accounting method change (Form 3115)	Corporate Controller, with the outside CPA firm

The depreciation and amortization workpapers are prepared by the Fixed Asset Accountant from the fixed asset register and reviewed before the return goes out. The workpapers carry, for every asset, vehicle, and amortization item: the description, the class, the cost, the date the item was placed in service, the method and recovery period, the amount claimed for the current year, and the accumulated recovery to the end of the year.

0.3.4 3.4 Disposals and Retirements

An asset is removed from the register when it is sold, traded, scrapped, or retired from service. The retirement entry carries the date of disposal, the proceeds if any, and the accumulated recovery at disposal; the gain or loss is computed in the module and posted to the general ledger. A vehicle retirement is confirmed by the fleet office before the entry is made, and the vehicle's title, plate, and telematics unit are cleared in the fleet register the same week.

A fully recovered asset that is still in service stays in the register with its cost and full accumulated recovery until it is disposed of; it is not removed merely because its recovery period has ended.

0.3.5 3.5 Capital Projects

Construction projects, build-outs, and equipment installation projects over $50,000 are tracked in capital project files while they run. Each project file carries the approval, the contracts, the applications for payment, the change orders, and the closeout certificate. Costs sit in construction in progress until the project is complete and the asset is placed in service, at which point the costs are classified to the fixed asset register by class and recovery begins.

Interest capitalized on a project is computed monthly on the average accumulated expenditures of the project while it runs, at the rate of the specific borrowing or the weighted average rate of the company's other borrowings, and stops when the project is substantially complete.

0.4 4 Fleet Asset Management Procedure

The fleet is the company's working plant. Crews, tools, and parts move on it, and the records in this section are what let the company bill jobs accurately, insure the fleet correctly, and answer for its use when a customer, an auditor, or the tax return asks.

The company operates a fleet of service trucks, vans, and sedans assigned to crews, service calls, and staff. The fleet office, under the Fleet Office Coordinator, keeps the fleet records this section requires.

0.4.1 4.1 Vehicle Records and Registrations

The fleet office keeps a register of every unit in the fleet: the unit number, the plate number, the vehicle identification number, the permanent fixed-asset tag, the body type, the dates of purchase and of release to service, and the usage records section 4.4 describes. The register is reconciled to the titles and registrations the company holds, and each vehicle's registration renewal is calendared sixty days ahead.

Titles are held by the Controller's office. Insurance certificates are kept with the vehicle file. A vehicle acquired for the fleet is added to the register when it is purchased; its fixed asset tag is assigned at the same time and does not change for the life of the vehicle.

A unit receives its fixed asset tag when it is added to the fleet register, from the same number series the fixed asset module assigns. The tag is lettered on the vehicle's B-pillar and recorded on the title file, the insurance schedule, and the telematics account. A vehicle that is replaced does not pass its tag to the replacement; the replacement takes the next tag in the series, and the retired unit keeps its tag in the retired records.

Vehicle records are matched to fixed assets by permanent unit asset identification number, not by plate or registration number; plate numbers may be reassigned when a vehicle is replaced.

When a vehicle is replaced, the fleet office may transfer the plate of the retired unit to the replacement for the convenience of yard parking, fuel cards, and gate access. The register carries the transfer in the notes of both records: the retired unit's record states the plate was transferred and to which unit, and the replacement's record states the plate was received and from which unit.

The fleet office reconciles the vehicle register to the fixed asset register twice a year. The reconciliation lists every unit and every fixed asset vehicle record and shows which records match and which do not, with the status of each vehicle as the two registers carry it.

0.4.2 4.3 Readiness and Service Dates

A vehicle is not in service the day it is invoiced. The fleet office records two dates for every unit: the date of purchase or invoice, and the date the vehicle was registered, outfitted, and released to service. Outfitting includes the installation of shelving, racks, crane bodies, livery, and telematics units the vehicle needs for the work it is assigned.

The readiness date is recorded by the Fleet Office Coordinator when the vehicle is released to a branch, and the release is confirmed by the branch manager who receives it. The fleet register carries both dates for every unit; the purchase file carries the invoice and the outfitting work orders.

Outfitting work is authorized on a work order that names the unit, the upfitting vendor, and the scope. When the work is done, the vendor invoice and the work order go to the fleet file, and the fleet office records the release date in the register. A unit that arrives equipped from the dealer is released the week its registration clears, on the same two-date rule.

Fuel is drawn on the company fuel cards assigned to each unit. The fleet office reviews the fuel card statement against the mileage recorded for the month, and a variance beyond ten percent is queried with the operator's branch before the statement is approved for payment.

0.4.3 4.4 Business Use and Mileage Logs

The fleet office collects usage for every unit for every month it is in service. Vehicles with GPS telematics report business and personal miles by trip; vehicles without a unit run on the manual mileage log the driver keeps in the vehicle. The fleet office summarizes each unit's business miles, personal miles, and total miles for the calendar year and files the summary with the unit's record.

Company policy prohibits personal use of company vehicles except for de minimis commute use by the assigned operator, and prohibits any personal use of the outfitted cargo vans. An operator whose personal miles exceed the policy allowance is reported to the branch manager and the Controller.

Table 6

Record	Kept by	Frequency
GPS telematics trip log	Fleet office	Continuous
Manual mileage log	Driver, collected monthly	Monthly
Fuel card reconciliation	Fleet office	Monthly
Annual business-use summary	Fleet office	Annually, after year end

The telematics system records each trip's start, end, and distance and classifies the trip as business or personal from the rules the fleet office maintains. A driver who disputes a classification reports it to the fleet office within the month, and the correction is made in the system with a note. The manual mileage log carries, for each trip, the date, the odometer start and end, the destination, and the business purpose, and is signed by the driver and countersigned by the branch manager monthly.

0.5 5 Tax Filing and Review

0.5.1 5.1 Workpaper Review

The tax workpapers are reviewed before the return package goes to the outside CPA firm. The review is performed by a person who did not prepare the workpapers. The reviewer works from the schedules and the source documents, applies the requirements the return is filed under, and records what was checked on the review checklist for the year.

A review that finds a position the workpapers do not support states the finding, the correction required, and the dollar effect of the correction. The reviewer's findings go to the preparer for correction and, once corrected, to the Controller with the return package. The return package is not released until every finding is resolved or the Controller has accepted it in writing.

0.5.2 5.1.1 The filing calendar

The return calendar for each year is set at the January close and runs backwards from the filing deadline. The internal review is calendared to leave the outside CPA firm two working weeks with the package. A calendar that slips is reported to the Controller the day it slips, with the reason and the recovery date.

Table 7

Step	Owner	Calendar
Fixed asset rollforward closed at year end	Fixed Asset Accountant	January close
Fleet usage summaries filed	Fleet Office	By the January close

Step	Owner	Calendar
Tax workpapers drafted	Fixed Asset Accountant	Two weeks after the close
Internal review performed	Senior Financial Analyst	Four weeks after the close
Controller sign-off	Corporate Controller	Five weeks after the close
Outside CPA firm review	CPA firm	Two weeks before the deadline
E-file authorization	Corporate Controller	At the deadline

0.5.3 5.2 Sign-off Authority

The Corporate Controller signs the federal return package on behalf of the company and authorizes the outside CPA firm to e-file. The Controller may delegate the preparation and assembly of the package but not the signing authority. The outside CPA firm is engaged by letter and reviews the return package before e-filing; the firm's review does not replace the company's own review under section 5.1.

Sign-offs are recorded with the signer's initials and the date. A signature on a schedule or a checklist line means the signer performed the steps that line names. Delegations of signing authority are in writing, name the matters delegated, and expire at the end of the fiscal year unless renewed.

0.6 6 Records Retention

The company keeps its accounting and tax records for the periods the table below states, measured from the end of the year the record belongs to. Records that support a filed return are kept at least as long as the limitations period that applies to that return, and longer where a contract, a lender, or a surety requires it.

Table 8

Record	Retention (years)
General ledger and monthly close files	7
Fixed asset register and depreciation workpapers	7
Vehicle register, titles, and usage records	7
Section 197 intangible agreements and amortization schedules	Life of the asset plus 7
Federal and state returns and the review checklists with them	7
Vendor invoices and payment support	7
Payroll records	7

Records are stored in the document management system or, where paper, in the finance file room. Electronic records are backed up nightly with the company's systems; the backup is tested twice a year by restoring a sample. A record that exists in both paper and electronic form is kept electronically, and the paper copy may be destroyed once the electronic copy is verified against it.

A record past its retention period is destroyed by the vendor under a certificate of destruction, except a record on legal hold. The Controller's office approves each destruction batch before it goes to the vendor, and the certificates are filed with the retention schedule they were destroyed under.

Records that support a tax return position are kept together with the return: the return as filed, the workpapers, the review checklist, and the support the workpapers cite. Anyone who needs an earlier year's file asks the Controller's office, which keeps the index of what is held where.

0.6.1 Appendix A: Definitions

Fixed asset register. The accounting record of the property and equipment the company capitalizes, carrying each item's description, class, cost, placed-in-service date, method, and accumulated recovery.

Fleet register. The fleet office's record of every vehicle the company operates, keyed by unit number and carrying the plate, the vehicle identification number, the fixed-asset tag, and the usage records.

Workpapers. The schedules the finance department prepares to support the figures on the return.

0.6.2 Appendix B: Schedule Content Requirements

Every schedule named below carries its header fields (company, period, preparer, reviewer, date) and the content the table states. A schedule that cannot be completed as specified is returned to the preparer with the missing items noted, not completed by the reviewer.

Fixed asset detail. One row per asset, vehicle, or amortization item in the register.

Table 9

Field	Source
Asset number, description, class	Fixed asset register
Placed-in-service date	Purchase file or fleet register
Cost basis	Vendor invoice, including freight, tax, and installation
Prior section 179 claimed	Prior-year return schedule
Accumulated recovery at year start	Prior-year rollforward
Current-year recovery by method	Computation schedule
Preparer note	Preparer
Reviewer initials and date	Reviewer

Section 179 parameter block. The dollar limitation, the investment phase-out threshold, and the source the workpaper formulas use, stated once for the tax year on their own sheet.

Depreciation computation schedule. One row per recovering asset: the method, the convention, the recovery period, the rate or table row applied, the computed amount, any applicable limitation, and the amount as drafted.

Amortization schedule. One row per intangible per month of the year: the monthly amount, the cumulative amortization to date, and the agreement the intangible arises from.

Vehicle classification schedule. One row per fleet unit: the unit, the plate, the fixed asset tag, the treatment the workpapers give the unit, and the business-use percentages carried by the workpapers and by the usage records.

Accumulated depreciation rollforward. One row per register item: cost, accumulated recovery at the start of the year, the year's recovery, accumulated recovery at year end, and net book value, agreeing to the general ledger.

Review checklist. One row per review step, each with the step's procedure, the recorded answer, the reviewer's initials, and the date.

Fleet usage summary. One row per unit per year: business miles, personal miles, total miles, the business-use percentage, and the source of the measurement, filed with the vehicle's record.

Reconciliation of the registers. One row per unit and per fixed asset vehicle record, showing the match or the reason the two registers carry the vehicle differently, prepared by the fleet office each half year.

0.6.3 Appendix C: Definitions of Records

Cost segregation study. An engineering study that allocates a building or build-out cost among the classes of property it contains, used to classify costs for recovery purposes.

Capitalized cost. The invoice price plus the costs to acquire and ready an asset for its use, net of discounts and trade-in allowances.

Construction in progress. The account that carries project costs while a project runs, before they are classified to the fixed asset register.

Retired record. The fleet register entry of a unit that has been disposed of, kept for the retention period with its plate and mileage history.

0.6.4 Appendix D: Revision History

Table 10

Rev.	Date	Approved by	Change
2025-1	2025-01-15	K. Richardson	Annual review; fleet procedure updated for the telematics rollout.
2024-2	2024-07-08	K. Richardson	Records retention table updated for the document management system.
2024-1	2024-01-16	K. Richardson	Annual review.
2023-1	2023-01-17	K. Richardson	Initial issue of the combined manual.